

COMMITTEE ON HEALTH & HUMAN SERVICES
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1345
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 4, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-420.06, to read:

4 36-420.06. Anonymous complaints; prohibition; exceptions

5 THE DEPARTMENT OF HEALTH SERVICES MAY NOT ACCEPT OR INVESTIGATE AN
6 ANONYMOUS COMPLAINT AGAINST A HEALTH CARE INSTITUTION UNLESS THE COMPLAINT
7 IS FROM EITHER OF THE FOLLOWING:

8 1. THE SUBJECT OF THE ALLEGATION WITHIN THE COMPLAINT.

9 2. A WITNESS TO THE CONDUCT BEING ALLEGED IN THE COMPLAINT.

10 <<Sec. 2. Section 36-425, Arizona Revised Statutes, is amended to
11 read:

12 36-425. Inspections; issuance of license; posting
13 requirements; provisional license; denial of
14 license

15 A. On receipt of a properly completed application for a health care
16 institution license, the director shall conduct an inspection of the
17 health care institution as prescribed by this chapter. If an application
18 for a license is submitted due to a planned change of ownership, the
19 director shall determine the need for an inspection of the health care
20 institution. Based on the results of the inspection and after the
21 submission of the applicable licensing fee, the director shall either deny
22 the license or issue a regular or provisional license. A license issued
23 by the department shall be posted in a conspicuous location in the
24 reception area of that health care institution.

25 B. The director shall issue a license if the director determines
26 that an applicant and the health care institution for which the license is
27 sought substantially comply with the requirements of this chapter and
28 rules adopted pursuant to this chapter and the applicant agrees to carry

1 out a plan acceptable to the director to eliminate any deficiencies. The
2 director shall not require a health care institution that was designated
3 as a critical access hospital to make any modifications required by this
4 chapter or rules adopted pursuant to this chapter in order to obtain an
5 amended license with the same licensed capacity the health care
6 institution had before it was designated as a critical access hospital if
7 all of the following are true:

8 1. The health care institution has subsequently terminated its
9 critical access hospital designation.

10 2. The licensed capacity of the health care institution does not
11 exceed its licensed capacity before its designation as a critical access
12 hospital.

13 3. The health care institution remains in compliance with the
14 applicable codes and standards that were in effect at the time the
15 facility was originally licensed with the higher licensed capacity.

16 C. A health care institution license does not expire and remains
17 valid unless:

18 1. The department subsequently revokes or suspends the license.

19 2. The license is considered void because the licensee did not pay
20 the licensing fee, civil penalties or provider agreement fees before the
21 relevant due date or did not enter into an agreement with the department
22 before the relevant due date to pay all outstanding fees or civil
23 penalties.

24 D. Except as provided in section 36-424, subsection B and
25 subsection E of this section, the department shall conduct a compliance
26 inspection of a health care institution to determine compliance with this
27 chapter and rules adopted pursuant to this chapter at least once annually.

28 E. If the department determines a facility, except for a
29 residential care institution or a nursing care institution that does not
30 have the same direct owner or indirect owner as a hospital licensed
31 pursuant to this chapter, to be deficiency free on a compliance survey,
32 the department shall not conduct a compliance survey of that facility for
33 twenty-four months after the date of the deficiency free survey. This
34 subsection does not prohibit the department from enforcing licensing
35 requirements as authorized by section 36-424.

36 F. A hospital licensed as a rural general hospital may provide
37 intensive care services.

38 G. The director shall issue a provisional license for a period of
39 not more than one year if an inspection or investigation of a currently
40 licensed health care institution or a health care institution for which an
41 applicant is seeking a license reveals that the health care institution is
42 not in substantial compliance with department licensure requirements and
43 the director believes that the immediate interests of the patients and the
44 general public are best served if the health care institution is given an
45 opportunity to correct deficiencies. The applicant or licensee shall
46 agree to carry out a plan to eliminate deficiencies that is acceptable to
47 the director. The director shall not issue consecutive provisional

1 licenses to a single health care institution. The director shall not
2 issue a license to the current licensee or a successor applicant before
3 the expiration of the provisional license unless the health care
4 institution submits an application for a substantial compliance survey and
5 is found to be in substantial compliance. The director may issue a
6 license only if the director determines that the health care institution
7 is in substantial compliance with the licensure requirements of the
8 department and this chapter. This subsection does not prevent the
9 director from taking action to protect the safety of patients pursuant to
10 section 36-427.

11 H. Subject to the confidentiality requirements of articles 4 and 5
12 of this chapter, title 12, chapter 13, article 7.1 and section 12-2235,
13 the licensee shall keep current department inspection reports at the
14 health care institution. Unless federal law requires otherwise, the
15 licensee shall post in a conspicuous location a notice that identifies the
16 location at that health care institution where the inspection reports are
17 available for review.

18 I. A health care institution shall immediately notify the
19 department in writing when there is a change of the chief administrative
20 officer specified in section 36-422, subsection A, paragraph 1,
21 subdivision (g).

22 J. When the department issues an original license or an original
23 provisional license to a health care institution, it shall notify the
24 owners and lessees of any agricultural land within one-fourth mile of the
25 health care institution. The health care institution shall provide the
26 department with the names and addresses of owners or lessees of
27 agricultural land within one-fourth mile of the proposed health care
28 institution.

29 K. In addition to the grounds for denial of licensure prescribed
30 pursuant to subsection A of this section, the director may deny a license
31 because an applicant or anyone in a business relationship with the
32 applicant, including stockholders and controlling persons, has had a
33 license to operate a health care institution denied, revoked or suspended
34 or a license or certificate issued by a health profession regulatory board
35 pursuant to title 32 or issued by a state agency pursuant to chapter 6,
36 article 7 or chapter 17 of this title denied, revoked or suspended or has
37 a licensing history of recent serious violations occurring in this state
38 or in another state that posed a direct risk to the life, health or safety
39 of patients or residents.

40 [L. THE DEPARTMENT SHALL:

41 1. WITHIN SIXTY DAYS AFTER RECEIVING AN INITIAL APPLICATION FOR A
42 HEALTH CARE INSTITUTION LICENSE, APPROVE OR DENY THE APPLICATION.

43 2. WITHIN THIRTY DAYS AFTER RECEIVING SURVEY RESULTS COMPLETED BY A
44 THIRD-PARTY ACCREDITATION ORGANIZATION, REVIEW AND SUBMIT TO THE CENTERS
45 FOR MEDICARE AND MEDICAID SERVICES FOR CERTIFICATION SURVEY RESULTS THAT
46 MEET THE REQUIREMENTS OF THE CENTERS FOR MEDICARE AND MEDICAID SERVICES.]

1 [~~t.~~] [M.] In addition to the requirements of this chapter, the
2 director may prescribe by rule other licensure requirements.>>

3 Enroll and engross to conform

4 Amend title to conform

And, as so amended, it do pass

SELINA BLISS
CHAIRMAN

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